PUBLIC EXAM - MARCH – 2024 - ANSWER KEY
XII STANDARD – ACCOUNTANCY – ENGLISH

Time Allowed : 3 Hours **Maximum Marks : 90**

I. Choose the most suitable from the given four alternatives and write the option code and the corresponding answer 20 x 1 = 20

A			B		
1	B	Securities Premium Account	1	B	Contra Voucher
2	A	Self Generated Goodwill	2	B	Securities Premium Account
3	A	2:1	3	C	Ctrl + Q
4	D	Nominal Account	4	A	Surplus or Deficit
5	B	Additional Capital Introduced	5	B	Total Debtors Account
6	C	5:3	6	D	(i) and (iv)
7	A	Goodwill under Annuity Method = Average Profit x Present value of annuity factor	7	C	Reserve Capital
8	A	Sale of Old Sports Materials – Capital Receipt	8	A	Self Generated Goodwill
9	D	110 %	9	C	Standard Costing
10	D	Rs.8,000 and Rs.4,000	10	C	5:3
11	C	Rs.64,000	11	D	Old Profit Sharing Ratio
12	D	Old Profit Sharing Ratio	12	A	Goodwill under Annuity Method = Average Profit x Present value of annuity factor
13	B	Total Debtors Account	13	D	Rs.8,000 and Rs.4,000
14	A	Surplus or Deficit	14	B	An Asset
15	D	(i) and (iv)	15	A	Sale of Old Sports Materials – Capital Receipt
16	B	An Asset	16	A	2:1
17	C	Standard Costing	17	D	Nominal Account
18	C	Reserve Capital	18	B	Additional Capital Introduced
19	C	Ctrl + Q	19	D	110 %
20	B	Contra Voucher	20	C	Rs.64,000

II. Answer any seven questions. Question No.30 is compulsory. 7 x 2 = 14

21) Receipts and Payments Account – Meaning:

- Receipts and Payments account is a summary of cash and bank transactions of not-for-profit organisations prepared at the end of each financial year.
- It is a real account in nature.

22) .Goodwill – Meaning:

- Goodwill is the good name or reputation of the business which brings benefit to the business.
- It enables the business to earn more profit.
- It is the present value of a firm's future excess earnings.

23) .Shares Forfeited – Meaning:

- **When a shareholder defaults in making payment of allotment and/or call money, the shares may be forfeited.**

24) .Working Capital – Meaning:

- **Working capital statement or schedule of changes in working is prepared to disclose net changes in working capitals on two specific dates (generally two balance sheet dates).**
- **It is prepared from current assets and current liabilities.**
- **Working Capital = Current Assets – Current Liabilities**

25) .Automated Accounting System:

- **Automated accounting is an approach to maintain up-to-date accounting records with the aid of accounting software.**

26). **Statement of profit or loss for the year ended 31st December, 2018**

Particulars	Rs.
Closing capital (as on 31.12.2018) (B/F)	**1,45,000**
Add: Drawings during the year (goods taken for personal use)	30,000
	1,75,000
Less: Additional capital introduced during the year	15,000
Adjusted closing capital	1,60,000
Less: Opening capital (as on 1.1.2018)	1,00,000
Profit made during the year	60,000

27) Calculation of Sacrificing Ratio:

Old ratio of Praveena and Dhanya = 7:3 that is, $\frac{7}{10} : \frac{3}{10}$

New ratio of Praveena, Dhanya and Malini = 5:2:3 that is, $\frac{5}{10} : \frac{2}{10} : \frac{3}{10}$

Share sacrificed = Old share - New share

Praveena = $\frac{7}{10} - \frac{5}{10} = \frac{2}{10}$

Dhanya = $\frac{3}{10} - \frac{2}{10} = \frac{1}{10}$

Sacrificing ratio of Praveena and Dhanya is $\frac{2}{10} : \frac{1}{10}$ that is 2:1

28) Journal Entry

Date	Particulars	L.F.	Debit Rs.	Credit Rs.
2018 March 31	Reserve fund A/c Dr.		**50,000**	
	To Dheena's capital A/c (50,000 × 5/10)			25,000
	To Surya's capital A/c (50,000 × 3/10)			15,000
	To Janaki's capital A/c (50,000 × 2/10)			10,000
	(Reserve fund transferred to all partners' capital account in the old profit sharing ratio)			

29) Calculation of Gross Profit Ratio:

$$\text{Gross Profit Ratio} = \frac{\text{Gross Profit}}{\text{Revenue from Operations}} \times 100 = \frac{20,000}{1,00,000} \times 100 = 20\%$$

Gross profit = Revenue from operations – Cost of revenue from operations
= 1,00,000 – 80,000 = **Rs. 20,000**

30) Final Accounts of Partnership Firms:

1) **Manufacturing Account**
2) **Trading and Profit and Loss Account**
3) **Profit and Loss Appropriation Account**
4) **Balance Sheet**

PART - III

III. Answer any seven questions. Question No.40 is compulsory. 7 x 3 = 21

31) Differences between the Statement of Affairs and the Balance Sheet

Basis of Distinction	Statement of Affairs	Balance Sheet
1. Objective	Statement of affairs is generally prepared to find out the capital of the business.	Balance sheet is prepared to ascertain the financial position of the business.
2. Accounting system	Statement of affairs is prepared when double entry system is not strictly followed.	Balance sheet is prepared when accounts are maintained under double entry system.
3. Reliability	It is not reliable as it is based on incomplete records.	It is reliable as it is prepared under double entry system.

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32) Dr. Income and Expenditure Account for the year ended 31st March, 2018 Cr.

Expenditure	Rs.	Rs.	Income	Rs.	Rs.
To Stationery consumed:					
Opening stock	300				
Add: Purchases	1,500				
	1,800				
Less: Closing stock	200	**1,600**			

Balance sheet as on 31st March, 2018

Liabilities	Rs.	Assets	Rs.
		Stock of stationery	**200**

33) Calculation of Amount of Interest of Drawings:

Interest on drawings = Amount of drawings x Rate of interest x Period of interest

Withdrawal on March 1 = 4,000 x 6/100 x 10/12 = 200

Withdrawal on June 1 = 4,000 x 6/100 x 7/12 = 140

Withdrawal on September 1 = 4,000 x 6/100 x 4/12 = 80

Withdrawal on December1 = 4,000 x 6/100 x 1/12 = 40

Total interest on drawings = 440

34) Calculation of Goodwill:

Total capitalized value of the business = $\frac{\text{Average profit}}{\text{Normal rate of return}}$ × 100

$= \frac{20,000}{10} \times 100$ = **Rs. 2,00,000**

Goodwill = Total capitalized value of the business - Capital employed

= 2,00,000 – 1,50,000 = **Rs.50,000**

35). Dr. Revaluation Account Cr.

Particulars	Rs.	Rs.	Particulars	Rs.
To Machinery A/c		4,000	By Buildings A/c	15,000
To Provision for doubtful debts A/c		1,000		
To Profit on revaluation transferred to				
Rajesh's capital A/c (3/5)	6,000			
Ramesh's capital A/c (2/5)	4,000	10,000		
		15,000		**15,000**

36) **Adjustments made at the time of retirement**

1) Distribution of accumulated profits, reserves, and losses.
2) Revaluation of assets and liabilities.
3) Determination of new profit sharing ratio and gaining ratio.
4) Adjustment for goodwill.
5) Adjustment for current year profit or loss up to the date of retirement.
6) Settlement of the amount due to the retiring partner.

37) **Differences between Preference Shares and Equity Shares (Any 3)**

BASIS	EQUITY SHARES	PREFERENCE SHARES
Payment of dividend	The dividend is paid after the payment of all liabilities.	Priority in payment of dividend over equity shareholders.
Repayment of capital	In the event of winding up of the company, equity shares are repaid at the end.	In the event of winding up of the company, preference shares are repaid before equity shares.
Rate of dividend	Fluctuating	Fixed
Redemption	No	Yes
Convertibility	Equity shares can never be converted.	Preference shares can be converted into equity shares.

38) **Common-size income statement of Raja Ltd for the year ended 31st March, 2017**

Particulars	Absolute amount Rs.	Percentage of revenue from operations
Revenue from operations	4,50,000	100
Add: Other income	67,500	15
Total revenue	**5,17,500**	115
Less: Expenses	1,35,000	30
Profit before tax	**3,82,500**	85

Note: Computation of percentage for Revenue from Operation

$\frac{67,500}{4,50,000} \times 100 = 15\%$	$\frac{1,35,000}{4,50,000} \times 100 = 30\%$
$\frac{5,17,500}{4,50,000} \times 100 = 115\%$	$\frac{3,82,000}{4,50,000} \times 100 = 85\%$

39) **Calculation of Debt-equity Ratio:**

$$\text{Debt Equity Ratio} = \frac{\text{Long Term Debt}}{\text{Shareholders' Fund}} = \frac{80,000}{1,60,000} = 0.5 : 1$$

Long term debt = Debentures = **Rs. 80,000**
Shareholders' funds = Equity share capital + Reserves and surplus
= 1,00,000 + 60,000 = **Rs. 1,60,000**

40) **Gateway of Tally:**

(i) Profit and Loss A/c -- Gateway of Tally > Reports > Profit & Loss A/c > AltF1 (detailed).
(ii) Balance Sheet -- Gateway of Tally > Reports > Balance Sheet > AltF1 (detailed).
(iii) Day Book -- Gateway of Tally > Reports > Day Book > AltF1 (detailed).

PART - IV

IV. Answer all the questions. **7 x 5 = 35**

41.a.

Statement of affairs of Ganesh as on 31st March, 2018

Liabilities	Rs.	Assets	Rs.
Creditors	9,000	Cash	5,000
Bills payable	6,000	Cash at bank	24,000
Capital (balancing figure)	88,000	Stock of goods	18,000
		Debtors	16,000
		Bills receivable	7,000
		Land and buildings	30,000
		Furniture	3,000
	1,03,000		1,03,000

Statement of profit or loss for the year ending 31st March, 2018

Particulars	Rs.
Closing capital as on 31.03.2018	88,000
Add: Drawings during the year	15,000
	1,03,000
Less: Additional capital introduced during the year	20,000
Adjusted closing capital	83,000
Less: Opening capital as on 01.04.2017	75,000
Profit made during the year ending 31.03.2018	8,000

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41.b. Dr. Revaluation Account Cr.

Particulars	Rs.	Rs.	Particulars	Rs.
To Stock A/c		2,000	By Furniture A/c	15,000
To Debtors A/c		2,500		
To Outstanding Wages A/c		4,500		
To Profit on revaluation				
transferred to	3,600			
Vetri's capital A/c (3/5)	2,400	6,000		
Ranjit's capital A/c (2/5)				
		15,000		15,000

Partners' Capital Account

Particulars	Vetri Rs.	Ranjit Rs.	Suriya Rs.	Particulars	Vetri Rs.	Ranjit Rs.	Suriya Rs.
To Profit and Loss A/c	6,000	4,000	-----	By Balance B/d	30,000	20,000	-----
To Balance C/d	30,600	20,400	10,000	By Reserve Fund A/c	3,000	2,000	-----
				By Revaluation A/c	3,600	2,400	-----
				By Cash A/c	-----	-----	10,000
	36,600	24,400	10,000		36,600	24,400	10,000
				By Balance B/d	30,600	20,400	10,000

Balance Sheet as on 31st January 2018

Liabilities	Rs.	Rs.	Assets	Rs.	Rs.
Capital A/c			Furniture	25,000	
Vetri	30,600		(+) Appreciation	15,000	40,000
Ranjit	20,400				
Suriya	10,000	61,000	Stock	20,000	
			(-) Depreciation	2,000	18,000
Sundry Creditors		45,000			
			Debtors	10,000	
Outstanding Wages		4,500	(-) Decrease	2,500	7,500
			Cash in hand	35,000	
			(+) Suriya's Capital	10,000	45,000
		1,10,500			1,10,500

42.a). **In the books of Poompuhar Literary Association**

Dr. Receipts and Payments Account for the year ended 31st March, 2019 Cr.

Receipts	Rs.	Payments	Rs.
To Balance b/d		By Balance b/d	
Cash in hand	5,000	Bank overdraft	4,000
To Sale of investments	1,000	By Printing and stationery	1,500
To Endowment fund receipts	2,000	By Interest paid	3,250
To Subscriptions received	20,000	By Purchase of refreshments	1,500
To Sundry receipts	750	By Lighting charges	1,300
To Government grants received	6,000	By Repairs and renewals	2,500
To Sale of refreshments	1,500	By Conveyance paid	2,750
		By Books purchased	10,000
		By Insurance premium paid	4,000
		By Balance c/d	
		Cash at bank	2,000
		Cash in hand	**3,450**
	36,250		**36,250**

[OR]

42.b. Factors determining the value of goodwill of a partnership firm:

(i) Profitability of the firm

- The profit earning capacity of the firm determines the value of its goodwill.
- A firm earning higher profits and having potential to generate higher profits in future will have higher value of goodwill.

(ii) Good quality of goods or services offered

- If a firm enjoys good reputation among the customers and general public for the good quality of its products or services, the value of goodwill for the firm will be high.

(iii) Efficiency of management

- A firm having efficient management will earn more profits and the value of its goodwill will be higher compared to a firm with less efficient managerial personnel.

(iv) Degree of competition

- In the case of business enterprises having no competition or negligible competition, the value of goodwill will be high.

(v) Other factors

- There are other factors which add to the value of goodwill of a business such as popularity of the proprietor, impressive advertisements and publicity, good relations with customers, etc.

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43.a.

Dr. Partners' Capital Account Cr.

Date	Particulars	Mannan Rs.	Savagan Rs.	Date	Particulars	Mannan Rs.	Savagan Rs.
	To Drawings	40,000	35,000		By Balance b/d	2,00,000	1,75,000
	To Interest on drawings	1,000	500		By Profit & Loss Appropriation A/c (Share of Profit)	21,000	16,500
	To Balance C/d	**2,10,000**	**1,69,000**		By Interest of Capital	12,000	10,500
					By Salary	18,000	
					By Commission	---	2,500
		2,51,000	**2,04,500**			**2,51,000**	**2,04,500**
					By Balance b/d	**2,10,000**	**1,69,000**

[OR]

43.b.

Journal Entries

Date	Particulars	L.F.	Debit Rs.	Credit Rs.
2017 April 1	Building A/c Dr. To Revaluation A/c (Value of building increased)		30,000	30,000
	Revaluation A/c Dr. To Stock A/c To Furniture A/c To Outstanding liability A/c (Decrease in value of assets and outstanding liability recorded)		18,000	5,000 12,000 1,000
	Revaluation A/c Dr. To Ramya's capital A/c To Sara's capital A/c To Thara's capital A/c (Profit on revaluation transferred)		30,000	15,000 9,000 6,000

Dr. Revaluation Account Cr.

Particulars	Rs.	Rs.	Particulars	Rs.
To Stock A/c		5,000	By Building A/c	30,000
To Furniture A/c		12,000		
To Outstanding liability A/c		1,000		
To Profit on revaluation transferred to				
To Roja's capital A/c (4/10)	4,800			
To Neela's capital A/c (3/10)	3,600			
To Kanaga's capital A/c (3/10)	3,600	**12,000**		
		30,000		**30,000**

44.a. Calculation of Goodwill:

Average Profit = Rs.42,000

Normal profit = Capital employed × Normal rate of return
= 2,00,000 × 15/100 = **Rs. 30,000**

Super profit = Average profit – Normal profit
= 42,000 – 30,000 = **Rs. 12,000**

Goodwill = Super profit × Number of years of purchase
= 12,000 × 3 = Rs. **36,000**

[OR]

44.b. The applications of CAS are as follows:

1. **Maintaining accounting records:**
   - ✓ In CAS, accounting records can be maintained easily and efficiently for long time period.
   - ✓ It does not require a large amount of physical space.
   - ✓ It facilitates fast and accurate retrieval of data and information.

2. **Inventory management:**
   - ✓ CAS facilitates efficient management of inventory.
   - ✓ Fast moving, slow moving and obsolete inventory can be identified.

3. **Report generation:**
   - ✓ CAS helps to generate various routine and special purpose reports.

4. **Data import/export:**
   - ✓ Accounting data and information can be imported from or exported to other users within the organisation as well as outside the organisation.

5. **Taxation:**
   - ✓ CAS helps to compute various taxes and to deduct these and deposit the same to the Government account.

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45.a.

In the books of Kumbakonam Basket Ball Association

Dr. Income and Expenditure Account for the year ended 31st March, 2018 Cr.

Expenditure	Rs.	Income	Rs.
To Rent of ground	12,000	By Rent of hall received	6,000
To Printing Charges	5,000	By Subscription	9,000
To Bank charges	1,000	By Locker rent	2,000
To Insurance for building	2,000		
To Tournament expenses	16,000		
To Audit fees	3,000		
To Sports materials purchased	4,000	**By Deficit (Excess of expenditure over income)**	**26,000**
	43,000		**43,000**

[OR]

45.b.

Comparative balance sheet of Chandra Ltd as on 31st March 2017 and 31st March 2018

Particulars	2016-17 Rs.	2017-18 Rs.	Absolute amount of increase (+) or decrease (–)	Percentage increase (+) or decrease (–)
I EQUITY AND LIABILITIES				
Shareholders' fund	4,00,000	4,40,000	+40,000	**+10**
Non-current liabilities	1,50,000	1,65,000	+15,000	**+10**
Current liabilities	75,000	82,500	+7,500	**+10**
Total	**6,25,000**	**6,87,500**	**+62,500**	**+10**
II ASSETS				
Non-current assets	5,00,000	6,00,000	+1,00,000	**+20**
Current assets	1,25,000	87,500	-37,500	**-30**
Total	**6,25,000**	**6,87,500**	**+62,500**	**+10**

Note - 1 : Computation of percentage increase for revenue from operations

$$= \frac{\text{Absolute amount of increase or decrease}}{\text{Year 1 amount}} \times 100$$

$= \frac{40,000}{4,00,000} \times 100 = 10\%$	$= \frac{1,00,000}{5,00,000} \times 100 = 20\%$
$= \frac{15,000}{1,50,000} \times 100 = 10\%$	$= \frac{37,500}{1,25,000} \times 100 = 30\%$
$= \frac{7,500}{75,000} \times 100 = 10\%$	$= \frac{62,500}{6,25,000} \times 100 = 10\%$
$= \frac{62,500}{6,25,000} \times 100 = 10\%$	

46.a. Dr. Profit and loss appropriation account for the year ended 31st March 2019 Cr.

Particulars	Rs.	Rs.	Particulars	Rs.	
To Interest on capital A/c:			By Profit and loss A/c		20,000
Durai (25,000 x 5%)	1,250				
Velan (30,000 x 5%)	1,500	2,750			
			By Interest on drawings A/c		
To Salary to Durai A/c		5,000	Durai	300	
			Velan	450	750
To Commission to Velan A/c		2,000			
To Partner's capital A/c:					
Durai (25,000 x 5%)	4,400				
Velan (30,000 x 5%)	6,600	**11,000**			
		20,750			20,750

[OR]

46. b. Calculation of

(i) Debt Equity Ratio $= \frac{\text{Long Term Debt}}{\text{Shareholders' Fund}} = \frac{4,00,000}{5,00,000} = 0.8 : 1$

Long term debt = 9% Debentures = **Rs. 4,00,000**

Shareholders' funds = Equity share capital + Preference share capital + Reserves and surplus

= 1,50,000 + 2,00,000 + 1,50,000 = **Rs. 5,00,000**

(ii) Proprietary Ratio $= \frac{\text{Shareholders' Fund}}{\text{Total Assets}} = \frac{5,00,000}{10,00,000} = 0.5 : 1$

(iii) Capital Gearing Ratio $= \frac{\text{Funds bearing fixed interest and fixed dividend}}{\text{Equity Shareholders' Fund}}$

$= \frac{6,00,000}{3,00,000} = 2 : 1$

Funds bearing fixed interest or dividend = 8% Preference share capital + 9% Debentures

= 2,00,000 + 4,00,000 = **Rs. 6,00,000**

Equity shareholders' funds = Equity share capital + Reserves and surplus

= 1,50,000 + 1,50,000 = **Rs. 3,00,000**

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47.a)

Trend analysis for Mullai Ltd

Particulars	Rs. in thousands			Trend percentages		
	2015-16	2016-17	2017-18	2015-16	2016-17	2017-18
Revenue from operations	100	120	160	100	120	160
Add: Other income	20	24	20	100	120	100
Total revenue	**120**	**144**	**180**	100	120	150
Less: Expenses	20	14	40	100	70	200
Profit before tax	**100**	**130**	**140**	100	130	140
Less: Income tax (30%)	30	39	42	100	130	140
Profit after tax	**70**	**91**	**98**	100	130	140

Note: Computation of trend percentage for revenue from operations:

For 2016-17	For 2017-18
: 120 /100 x 100 = 120%	: 160 /100 x 100 = 160%
: 24 /20 x 100 = 120%	: 20 /20 x 100 = 100%
: 144 /120 x 100 = 120%	: 180 /120 x 100 = 150%
: 14 /20 x 100 = 70%	: 40 /20 x 100 = 200%
: 130 /100 x 100 = 130%	: 140 /100 x 100 = 140%
: 39 /30 x 100 = 130%	: 42 /30 x 100 = 140%
: 91 /70 x 100 = 130%	: 98 /70 x 100 = 140%

[OR]

47.b) **In the books of Joy Company**

Journal entries

Date	Particulars	L.F.	Debit Rs.	Credit Rs.
	Bank A/c (9,000 x 5) Dr. To Equity share application A/c (Application money received)		45,000	45,000
	Equity share application A/c **Dr.** To Equity share capital A/c (Transfer of share application money to share capital)		45,000	45,000
	Equity share allotment A/c **Dr.** To Equity share capital A/c (Share allotment money due)		27,000	27,000

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	Bank A/c To Equity share allotment A/c (Allotment money received)	**Dr.**	27,000	27,000
	Equity share first and final call A/c To Equity share capital A/c (Share first and final call money due)	**Dr.**	18,000	18,000
	Bank A/c To Equity share first and final call A/c (Share first and final call money received)	**Dr.**	18,000	18,000

********** All The Best **********

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